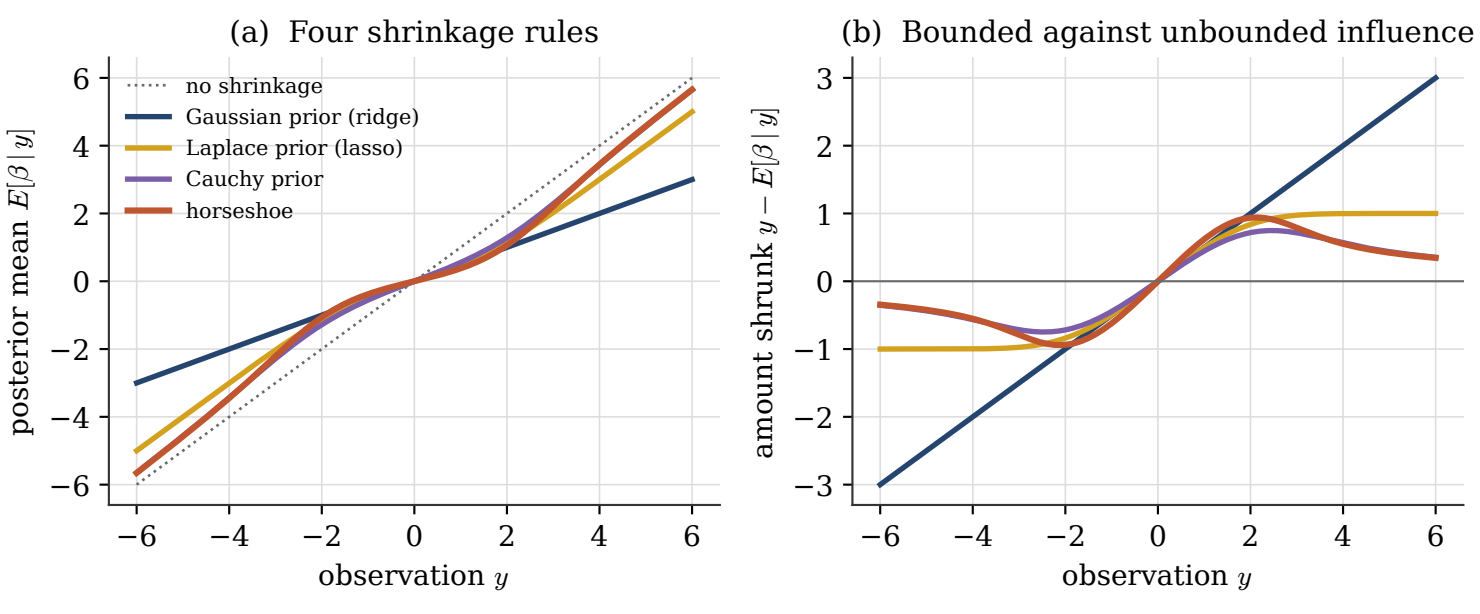
(a) Four shrinkage rules
no shrinkage
Gaussian prior (ridge)
Laplace prior (lasso)
Cauchy prior
horseshoe
posterior mean $E[\beta \mid y]$
observation y
(b) Bounded against unbounded influence
amount shrunk $y - E[\beta \mid y]$
observation y